> account, together with an express or implied promise to pay the same. The action is based on the promise to pay thus established, and if it is not expressly made, facts from which such promise will be implied must be proven.

(*Bennett v. Potter* (1919) 180 Cal. 736, 745 [emphasis added] [account stated cannot become a substitute for an action on a written contract with a promise to pay].)

1. Plaintiff's Allegations in Support of the Account Stated Cause of Action

Plaintiff alleges within the last year, "an account was stated by and between plaintiff and defendant wherein, and whereby it was agreed that said defendant was indebted to plaintiff in the sum of at least $2,000,000.00 for the use and benefit of plaintiff's granddaughters." (FAC ¶ 35 [emphasis added].) He alleges no part of the $2 million has been paid "despite plaintiff's demands" and that amount plus interest and attorney's fees is now due and owing." (FAC ¶ 36.)

2. Grounds for Demurrer and Court's Analysis

The allegations of the FAC do not meet the requisites for an account stated cause of action. There are no allegations that any statements were issued or made between the parties or that the parties have agreed to a "sum certain" being due by defendant on any "account" owed to Plaintiff in the amount of $2 million for the benefit of Plaintiff's granddaughters. To the extent Plaintiff's claim in this cause of action is based on the allegations regarding defendant's purported December 11, 2025 email, that email and the allegations of FAC paragraph 18 are insufficient to allege an "account stated" claim under the standards of the authority cited above. There is no "sum certain" of $2 million in the factual allegations of the FAC or Exhibit B to the FAC. Considering Exhibit B to the FAC relied on and incorporated by Plaintiff through paragraph 18, while recognizing defendant's position that the December 2025 email is not genuine, Exhibit B indicates that defendant is holding funds that are to be reserved for future expenditures for Plaintiff's granddaughters in an unspecified and not yet defined amount, not that there is any stated amount due now. (FAC Exh. B ["Upon Mikayla's 16th birthday, she would receive a car of her choice. [¶] $800,000 of the resources entrusted to me are to be reserved to cover educational and related expenses for your granddaughters. [¶] I agreed to carry out these wishes on your behalf. I understand that this includes tuition, room and board, and other reasonable educational expenses for Mikayla and Mila, whether for college, preparatory schooling, or other appropriate educational programs."].) There are no allegations regarding the ages of the granddaughters or otherwise supporting any immediate right to the $800,000 referenced in Exhibit B.

The general demurrer to the fourth cause of action for account stated is **sustained, with leave to amend**.

16. 9:00 AM CASE NUMBER: C25-02850
CASE NAME: TITO TORRES VS. MARK SCOTT CONSTRUCTION, INC.
MOTION TO COMPEL ARBITRATION
FILED BY: MARK SCOTT CONSTRUCTION, INC.
TENTATIVE RULING:

Defendant Mark Scott Construction, Inc.'s motion to compel arbitration is granted in part. The parties are ordered to arbitrate the claims raised in this complaint before JAMS/Endispute in Walnut Creek. Defendant's request to dismiss this case is denied. This case is stayed pending outcome of the arbitration. The Court sets a status conference regarding the arbitration for May 12, 2027.

Plaintiff Tito Torres filed a complaint against Defendant because Defendant recorded a mechanic's lien for $33,319.37 on Plaintiff's property. Plaintiff alleges that the mechanic's lien recorded on April 30, 2025, has expired. Defendant filed this motion to compel arbitration, arguing that the parties' contract includes an arbitration clause.

Standard

Whether the arbitration agreement is governed by the Federal Arbitration Act, 9 U.S.C. § 1, et seq. ("FAA") or by the California Arbitration Act, Code of Civil Procedure section 1280 et seq. ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413; Code Civ. Proc. 1281, 1281.2, 1290.2.) Arbitration agreements may be invalidated on the same grounds other contracts may be invalidated, including fraud, duress or unconscionability. (Armendariz v. Foundation Health Psych. Servs., Inc. (2000) 24 Cal.4th 83, 98.

"[B]efore a court may order the parties to arbitration, the court must determine the threshold question of whether a valid agreement to arbitrate exists. [Citations.] The party seeking to compel arbitration bears the burden of establishing a valid agreement to arbitrate by a preponderance of the evidence, while the party opposing arbitration bears the burden of establishing any necessary facts in defense by a preponderance of the evidence. [Citations.]" (Jones v. Solgen Construction, LLC (2024) 99 Cal.App.5th 1178, 1195.)

Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (Alvarez v. Altamed Health Services Corp. (2021) 60 Cal.App.5th 572, 580.) To invalidate the arbitration agreement on the grounds of unconscionability, which is what Plaintiff claims here, Plaintiff is required to show that the agreement is both procedurally and substantively unconscionable. (See Armendariz, supra, 24 Cal.4th at 114.) The more substantively unconscionable the arbitration agreement is, the less evidence of procedural unconscionability is required to render it unenforceable, and vice versa. (Id.)

Analysis

Plaintiff is suing over Defendant's mechanic's lien for $33,319.79. (Comp. attachment.) Defendant's evidence shows that the parties entered into a contract which formed the basis of the mechanic's lien. The parties' contract provides for repairs to Plaintiff's property in Antioch. (Brincat dec. ex. A.) The contract includes a dispute resolution section, which states in part that "Any controversy or claim arising out of or related to this Agreement shall be settled by binding arbitration utilizing the service of JAMS/Endispute in Walnut Creek, California." (Brincat dec. ex. A section H.) Plaintiff does not dispute that he agreed to the contact.

Plaintiff argues that recorded mechanic's lien involved public records and should be outside of arbitration. The arbitration clause includes broad language and covers the dispute at issue here.

Plaintiff also argues that the lien has expired, however, that issue can be decided by the arbitrator and is not a reason to deny this motion.

Plaintiff asks that Defendant be required to identify any foreclosure action, extension or release before arbitration is ordered. This information does not address whether or not there is a binding arbitration clause.

The Court finds that there is an arbitration agreement that covers the dispute raised in Plaintiff's complaint. Therefore, the Court must order the parties to arbitrate their claims, unless there is a defense to enforcement.

Plaintiff also argues that the Court should consider the fee-shifting provision included in the parties' contract and also consider the consumer standards and fees before ordering Plaintiff to arbitration. Plaintiff's argument does not explicitly mention unconscionability, however, he points to issues that require an unconscionability analysis.

It is apparent that the contract here was one of adhesion and provides at least some procedural unconscionability.

As to substantive unconscionability, the contract states in part that "The prevailing party in any arbitration or legal proceedings relating to this Agreement shall be entitled to payment of reasonable attorney's fees, costs and expenses inclusive of all of the expenses incurred with JAMS/Endispute." (Contract section H.)

In consumer arbitrations, "No neutral arbitrator or private arbitration company shall administer a consumer arbitration under any agreement or rule requiring that a consumer who is a party to the arbitration pay the fees and costs incurred by an opposing party if the consumer does not prevail in the arbitration, including, but not limited to, the fees and costs of the arbitrator, provider organization, attorney, or witnesses." (Code Civ. Proc., § 1284.3 (a).) Thus, if this is a consumer arbitration, the fee and cost shifting provision in the contract is inconsistent with section 1284.3.

Plaintiff appears to argue that this arbitration should be a consumer one. Defendant argues that the arbitrator should decide the issue and provides an example where JAMS determined a similar contract was not a consumer arbitration. (Reply dec.) Defendant has not shown that the arbitration clause contains a delegation clause. And in any event, the issue here is whether the arbitration clause includes an unconscionable provision, which is properly decided by the Court.

Neither side provided a thorough discussion on when a dispute constitutes a consumer arbitration. The Court has therefore conducted its own research on the issue.

The California Rules of Court include Ethics Standards for Neutral Arbitrators in Contractual Arbitration. Consumer arbitration is defined in section 2 of these standards:

(d) "Consumer arbitration" means an arbitration conducted under a predispute arbitration provision contained in a contract that meets the criteria listed in paragraphs (1) through (3) below. "Consumer arbitration" excludes arbitration proceedings conducted under or arising out of public or private sector labor-relations laws, regulations, charter provisions, ordinances, statutes, or agreements.

(1) The contract is with a consumer party, as defined in these standards;

(2) The contract was drafted by or on behalf of the nonconsumer party; and

(3) The consumer party was required to accept the arbitration provision in the contract.

(Ethics Standards for Neutral Arbitrators in Contractual Arbitration, section 2(d).)

A consumer party includes "[a]n individual who seeks or acquires, including by lease, any goods or services primarily for personal, family, or household purposes including, but not limited to, financial services, insurance, and other goods and services as defined in section 1761 of the Civil Code". (Ethics Standards for Neutral Arbitrators in Contractual Arbitration, section 2(e)(1).) Civil Code section 1761 defines "Consumer" as "an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes." (Civ. Code § 1761(d).)

Here, the contract shows that Plaintiff hired Defendant to perform repairs on his property. In his opposition, Plaintiff states that the property is his home. Further, the address listed on Plaintiff's opposition papers is the same as the address where the parties contracted for repair work. Finally, in the Work Authorization, it provides information about the Contractors' State License Board, which is the state consumer protection agency.

In reply, Defendant provided documents from another case involving Defendant's standard contract where JAMS determined it was not a consumer arbitration. That decision is not binding on this Court. Further, the trial court's decision in this case did not address the fee shifting clause at issue here.

The Court finds that the contract is a consumer one because Plaintiff hired Defendant to provide services for household purposes. The Court finds that Plaintiff is a consumer under Civil Code section 1761 and the Ethics Standards for Neutral Arbitrators in Contractual Arbitration. Therefore, as a consumer in the arbitration context Code Civil Procedure section 1284.3 applies and the fee shifting clause is unconscionable.

The next issue is whether the Court should severe this one clause or refuse to enforce the entire arbitration agreement. "In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is 'permeated' by unconscionability." (Hasty v. American Automobile Assn. etc. (2023) 98 Cal.App.5th 1041, 1064 (internal quotation marks omitted).)

There is only one unconscionable clause here and the Court finds that the interests of justice would be furthered by severance of the fee shifting clause. The Court strikes the following from the parties' contract: "The prevailing party in any arbitration or legal proceedings relating to this Agreement shall be entitled to payment of reasonable attorney's fees, costs and expenses inclusive of all of the expenses incurred with JAMS/Endispute."

Having stricken the fee shifting clause from the contract, the Court finds that the arbitration clause is enforceable and the Court orders the parties to arbitration.

Plaintiff's request for judicial notice are denied as copies of the documents are not attached to the request. Further, some of the requests do not appear appropriate for judicial notice.

17. 9:00 AM CASE NUMBER: N25-1974
CASE NAME: CEDRIC MOORE VS. DAVID LIVINGSTON
PETITION FOR WRIT OF MANDATE AND COMPLAINT